IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

C.A. (CAA)NO.84/BB/2017
u/s 230-232 OF THE COMPANIES ACT, 2013

IN THE MATTER OF SCHEME OF AMALGAMTION OF
TAYANA DIGITAL PRIVATE LIMITED
AND
JUPITER CAPITAL PRIVATE LIMITED
AND
THEIR RESPESTIVE SHAREHOLDERS AND CREDITORS

Order Delivered on: 14th December 2017

Coram: Hon'bleShri Ratakonda Murali, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

M/s Jupiter Capital Private Limited
No. 54, Richmond Road,
Bangalore 560 025 **APPLICANT/ TRANSFEREE COMPANY**

For the Petitioner(s): Mr. Saji. P. John, Advocate, M/s SPJ Legal
Unit No. 1002, 10th Floor,#30, Prestige Meridian II,
M.G.Road, Bengaluru 560 001.

Per: **Hon'ble Shri Ratakonda Murali, Member (Judicial)- Author**

Heard on : 27.11.2017 & 6.12.2017

O R D E R

This Company Application is filed on behalf of the Applicant Company under Sec. 230 and 232 of the Companies Act, 2013 read with Rule 3 of the Companies (Compromises, Arrangement and Amalgamation) Rules 2016, praying to order to dispense with the convening of the meetings of the Equity Shareholders, Secured Creditor, Unsecured Loan Creditor and Unsecured Trade Creditor of the Applicant / Transferee Company for purposes of considering the Scheme of Amalgamation etc.

The averments made in the Company Application are briefly described hereunder:-

The Applicant Company seeks an order to dispense with convening of meeting of Equity Shareholders, Secured Creditors, Unsecured Creditors and Unsecured Trade creditors of the Applicant/Transferee Company for approving the scheme of amalgamation of **JUPITER CAPITAL PRIVATE LIMITED** with **TAYANA DIGITAL PRIVATE LIMITED** in terms of Scheme of Amalgamation shown as **Annexure-F.**

It is further averred in the Company Application that the Transferee Company was incorporated as a private company under the name and style of **JUPITER CAPITAL PRIVATE LIMITED** on 29TH March 2004 in the State of Karnataka and obtained Certificate of Incorporation from the Registrar of Companies, Karnataka bearing CIN No. **U67120KA2004PTCO33653.** The Registered office of the Transferee Company is situated at No. 54, Richmond Road, Bengaluru-560025.

The Transferee Company's objects as set out in its Memorandum of Association inter alia includes as stated hereunder:

a) To carry on the business as a finance and Investment Company and to engage in promotion of companies by participating in or to provide finance and to make investments in any form whatsoever including financing for industrial undertakings housing and making investments in shares, stocks, securities, bonds or other securities.

b) To acquire and provide on lease or hire-purchase basis or on deferred payment basis or any other basis all types of plant equipment machinery vehicles consumer durables and real estates and any other movable and immovable properties whether in India or aboard for industrial services, commercial or other uses.

The copies of Certificate of Incorporation and Memorandum and Articles of Association of the Applicant/Transferee Company are produced as **Annexure-A.**

The authorized share capital of the Applicant/Transferee Company is Rs 1,00,00,000/- divided into 10,00,000 Equity Shares of Rs 10/- each. The issued, subscribed and paid up share capital is Rs. 1,00,00,000/- divided into 10,00,000 Equity Shares of Rs 10/- each fully paid up.

As per the audited balance sheet as at 31st March 2017, the Assets and Liabilities of the Applicant/Transferee Company is as follows:-

Liabilities	Amount	Asset	Amount
Share Capital	5,01,97,200	Fixed assets	155,53,65,468
Reserves and Surplus	1341,32,54,885	Non-current Investments	1030,82,95,581
Non-current liabilities & Provisions	119,82,77,261	Long-term loans & Advances	146,12,46,391
Current liabilities & Provisions	279,02,28,557	Other non-current assets	21,41,03,784
		Current Assets	391,29,46,679
Total	**1745,19,57,903**	**Total**	**1745,19,57,903**

The Copies of Audited Balance Sheet as on 31st March, 2017 Applicant /Transferee Company are shown as **Annexure C & C1.**

The Copy of Audited Balance sheet and Profit and Loss Account of the Applicant / Transferee Company as on 31st March, 2017 is produced as **Annexure-D.**

It is further averred that, the Transferor Company **TAYANA DIGITAL PRIVATE LIMITED** was incorporated on 13th March 2008, with the Registrar of Companies, Karnataka at Bangalore. The registered office of the Transferor Company was subsequently changed to 1-B Ground Floor, Gold Coin Premises, Opposite Sobo Central, 35/23A, Tardeo Road, Tardeo, Mumbai-400034 with the Registrar of Companies, Maharashtra, Mumbai vide fresh certificate of incorporation on 9th October 2017.

The Transferor Company's objects as set out in its Memorandum of Association is to carry on the business of Engineering Design services through development of Designs to specifications, Design Automation, Drafting & 3D modeling, Engineering Analysis and Plant Design Engineering and to act as Engineering Design Consultants both in India and abroad. To undertake the designing and development of systems and application software either for its own use or for sale in India or for export outside India and to design and develop such systems and application software for or on behalf of manufacturers, owners and users of computer systems, and all applications in aircrafts, aviation, avionics etc.,

The authorized share capital of the Applicant/Transferee Company is Rs 1,00,00,000/- divided into 10,00,000 Equity Shares of Rs 10/- each. The issued, subscribed and paid up share capital is Rs. 1,00,00,000/- divided into 10,00,000 Equity Shares of Rs 10/- each fully paid up.

As per the audited balance sheet as at 31st March 2017, the Assets and Liabilities of the Transferor Company is as follows:-

Liabilities	Amount	Asset	Amount
Share Capital	1,00,00,000	Non-current Investments	67,80,39,409
Reserves and Surplus	15,95,53,804		
Non-current liabilities	75,00,000	Current Assets	5,52,245
Current liabilities & Provisions	50,15,37,850		
Total	**67,85,91,654**	**Total**	**67,85,91,654**

The Copy of Audited Balance Sheet as on 31st March, 2017 of Transferor Company is shown as **Annexure-D.**

The Board of Directors of the Applicant Company have approved and adopted the Scheme of Amalgamation at its meeting held on 26th September 2017 by virtue of which the **TAYANA DIGITAL PRIVATE LIMITED** which is a Transferor Company is proposed to be merged with the Transferee Company **JUPITER CAPITAL PRIVATE LIMITED.**

A Copy of the Board Resolutions of the Applicant Company is shown as **Annexure-E.**

It is further averred in the application that no investigation proceedings are pending against the Applicant /Transferee Company under Section 235 to 251 or any other provisions of the Companies Act, 1956 or Section 206 to 229 of the companies Act, 2013.

It is further averred in the application that, the entire equity share capital of the Transferor Company is held by the Transferee Company and Hindustan Infrastructure Global Investment, Mauritius (HIGI Mauritius).

HIGI Mauritius is a wholly owned subsidiary of Hindusthan Infrastructure Projects & Engineering Private Limited, which in turn is a wholly owned subsidiary of the Transferee Company. Accordingly, in pursuant to this amalgamation, no shares of the Transferee Company shall be allotted in respect of its holding in the Transferor Company. Further, HIGI Mauritius being an indirect wholly owned subsidiary of the Transferee Company, no shares to be issued by Transferee Company to HIGI Mauritius as consideration for merger. Upon the Scheme becoming effective, the entire share capital of the Transferor Company shall be cancelled and extinguished as per Clause 5 of the Scheme. Except this, no other consideration is payable under the Scheme.

It is further averred in the application that, there are **3 (three) Equity Shareholders** in the Applicant /Transferee Company who have given their consent in writing to the scheme in the form of an Affidavit. The list of equity shareholders duly certified by the Chartered Accountant and the consent affidavits by the equity shareholders extending their consent to the proposed Scheme are produced and collectively shown as **Annexure-G Series.**

It is further averred in the application that, there are **5 (five) Secured Creditors** in the Applicant /Transferee Company who have given their consent in writing to the scheme in the form of an Affidavit. The list of Secured Creditors duly certified by the Chartered Accountant and the consent affidavits by the Secured Creditors extending their consent to the proposed Scheme are produced and collectively shown as **Annexure-H Series.**

It is further averred in the application that, there are **No Unsecured Loan Creditors** in the Applicant /Transferee Company. The certificate of the Chartered Accountant regarding the same is shown as **Annexure-J.**

It is further averred in the application that, there are **23 (Twenty Three) Unsecured Trade Creditors.** It is also averred that, as far as Unsecured Trade Creditors of the Applicant / Transferee Company is concerned, they will not in any way be affected by the proposed scheme. Further, no compromise is being entered into with the creditors pursuant to the scheme. In pursuant to the implementation of the scheme, all the assets and

liabilities pertaining to the Transferor Company are transferred to the Transferee Company, and the combined assets of the Transferee Company post-merger will be far more than its combined liabilities. Accordingly, the interests of the Unsecured Trade Creditors would not be affected pursuant to the implementation of the Scheme. It is further averred that, out of 23 (Twenty Three) Unsecured Trade Creditors, the Applicant / Transferee Company has received the consent in form of an Affidavit from 07 (Seven) Unsecured Trade Creditors, constituting 90.2% in value of the total value of the Unsecured Trade Creditors. The list of Unsecured Trade Creditors duly certified by the Chartered Accountant and the consent letters given in the form of an affidavit by the Unsecured Trade Creditors to the proposed Scheme are produced and collectively shown as **Annexure-K Series**

We have heard the Counsel appearing for the Applicant / Transferee Company, who has filed the Application to dispense with for convening of meeting of the Equity Shareholders, Secured Creditors, Unsecured Creditors and Unsecured Trade Creditors for considering the Scheme of Amalgamation.

Further, the Counsel for Applicant / Transferee Company contended that, the proposed Amalgamation is sought to be made under the provisions of Sections 230 to 232 of the Companies Act, 2013 and will take effect from **1st April 2017**.

The Counsel for the Applicant / Transferee Company further contended that, the Board of Directors of the Transferee Company is of the opinion that the merger will make Greater integration, financial strength and flexibility for the amalgamated entity, which would result in maximising overall shareholder value and will improve the competitive position of the combined entity; Improved organizational capability and leadership, arising from the pooling of resources to compete successfully in an increasingly competitive industry; greater leverage in operations, planning and process, efficiency in cash management and unfettered access to cash flow generated by the combined business; cost savings are expected to flow from synergies achieved through joint operational efforts, rationalization, standardisation and simplification of business processes, administration, finance, accounts, legal and other related functions, leading to elimination of duplication and rationalization of administrative expenses and simplification of group structure.

The Applicant / Transferee Company is seeking an order to dispense with convening of Equity shareholders and Secured Creditors and Unsecured Trade Creditors on the following ground that:

a) there are 3 (three) Equity Shareholders in the Applicant /Transferee Company who have given their consent in writing to the scheme in the form of an Affidavit.
b) there are **No Unsecured Loan Creditors** in the Applicant /Transferee Company.
c) there are 23 (Twenty Three) Unsecured Trade Creditors, out of 23 (Twenty Three) Unsecured Trade Creditors, the Applicant / Transferee Company has received the consent in form of an Affidavit from 07 (Seven) Unsecured Trade Creditors, constituting 90.2% in value of the total value of the Unsecured Trade Creditors.
d) there are 5 (five) Secured Creditors who gave consent by way of Affidavits.

We have seen the list of shareholders duly certified by Chartered Accountant and the consent letter in the form of an Affidavit. We have also seen the list of Secured Creditors duly certified by Chartered Accountant and the consent letter in the form of an Affidavit. We have also seen the list of Unsecured Loan Creditors duly certified by Chartered Accountant. We have also seen the list of Unsecured Trade Creditors duly certified by Chartered Accountant and the consent letter in the form of an Affidavit.

Hence, the application is allowed and holding of meeting of the Equity Shareholders, Secured Creditors and Unsecured Trade Creditors of the Applicant / Transferee Company **JUPITER CAPITAL PRIVATE LIMITED** are dispensed with accordingly. In any eventuality when the Applicant / Transferee Company approaches this Tribunal for seeking approval of the scheme it would be open for any persons who are interested in the scheme of Amalgamation to put forth their contentions before the Tribunal.

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

(RATAKONDA MURALI)
MEMBER, JUDICIAL

14/12/17